

UMC (2303 TT)

Multiple Tailwinds Amid Industry Supply Cuts

Maintained **Buy**
Target price NT\$135

Reiterate Buy and fine tune TP to NT\$135: Despite the recent share price outperformance, we remain bullish on UMC and tier-2 foundry makers. Our earlier report of *Strong Leverage on May 13* highlighted UTR recovery, pricing strength, eased competition and potential optics project wins. We now see additional positives such as faster than expected mature node capacity scale-down and UMC's collaboration with Intel to potentially be extended to Intel 3/4. We fine tune earnings estimates and lift TP slightly from NT\$132 to NT\$135, based on 20x 2027E EPS. Our earnings forecast excludes the cooperation with Intel.

Revisit our earlier view on 90%+ UTR, price hike and optics: For UTR, we reiterate our view that its UTR will reach 90%+ by 4Q26, underpinned by 8" customers (Samsung LSI, Novatek, MTK), or products such as HV, BCD, etc, and 12" customers (Novatek, Samsung LSI, Sony, etc), or products such as DDIC, ISP, CIS, interposer. Pricing wise, it is widely expected that UMC will initiate a round of price hike in 3Q26, and we still expect another round of price hike across major nodes, likely ~10%, in 1H27. For optics, we believe that optics will be a high-margin business, due to the process node of 65nm/55nm and 8" for PIC and TFLN. We expect it to ramp for top-tier optical makers in U.S. and China.

Tier-1 foundry capacity scale-down: It is widely known that TSMC (2330 TT Buy) started scale-down 8" capacity and will EOL some fabs by 2027 to shift fab space to advanced packaging. For Samsung, the scale-down appears faster than expected, and we estimate its 8" capacity to be cut by 80KPM~100KPM each year at least until end-2027, from ~260KPM in end-2025. The move also leads to overflow orders to tier-2 foundries, and we expect UMC to benefit from demand of Samsung LSI, Novatek and MTK.

Intel cooperation likely to be from Intel 12/14 to Intel 3/4: According to UMC's earnings call, the 12nm collaboration with Intel is UMC's next technology initiative beyond 22nm, delivering technology continuity and addressing geopolitical diversification. The company suggests it is on track for PDK + IP in 2026 and tape-outs in early 2027, implying the volume production in 2028. Looking further ahead, we expect the collaboration to be extended to Intel 3/4, skipping Intel 6/7 because of low demand, with UMC providing PDK and IP services, likely in Intel's Fab 34, for which Intel announced to buy back from Apollo on April 1st.

Risks: 1) Geo-political risk; 2) Demand uncertainties; 3) Competition; 4) New product delay.

Profit forecast

	2023	2024	2025	2026E	2027E
Revenue (m)	222,533	232,303	237,553	277,979	335,025
Revenue YoY (%)	-20.2	4.4	2.3	17.0	20.5
Net profit (m)	60,990	47,211	41,716	62,506	83,918
Net profit YoY (%)	-30.1	-22.6	-11.6	49.8	34.3
EPS (NT\$)	4.9	3.8	3.3	5.0	6.7
P/E	15.3	19.6	22.3	14.9	11.1
ROE (%)	17.0	12.5	11.0	15.3	19.1

Source: Company data, GF Securities (Hong Kong) Brokerage.

Please be sure to read the disclosures at the end of this report carefully.

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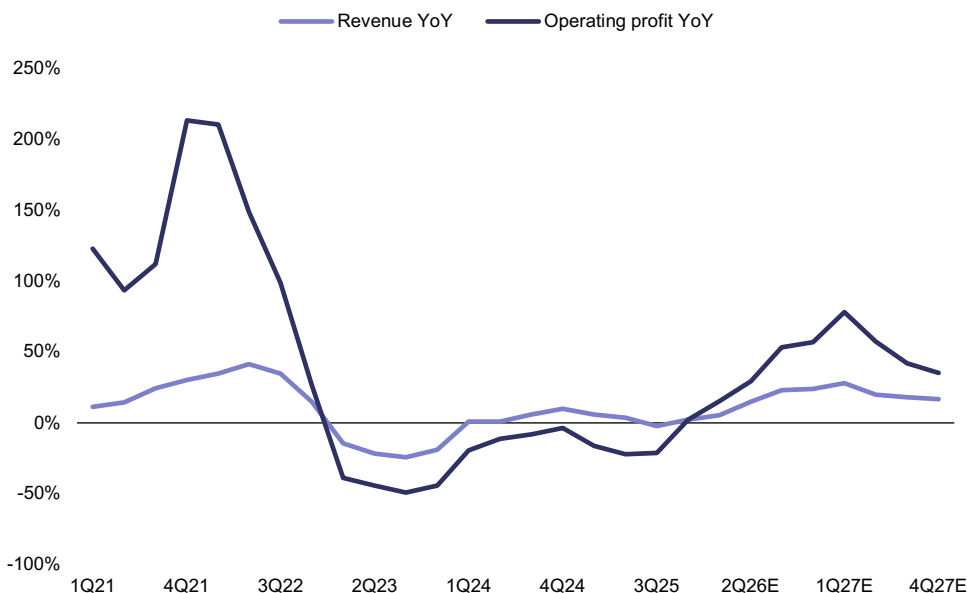
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Earnings Forecast

Figure 1: UMC's revenue YoY and operating profit YoY (%)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings Revision

By factoring in slightly higher UTR and pricing, we revise EPS estimates by +0%/+2% in 2026E/2027E respectively. Our earnings forecast excludes the cooperation with Intel.

Figure 2: Earnings revision

NTD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	237,553	278,578	277,979	331,655	335,025	0%	1%
Gross profit	68,906	90,464	90,136	121,611	124,293	0%	2%
EBIT	43,949	61,882	61,554	90,391	92,463	-1%	2%
Pre-tax Income	49,648	71,154	70,824	96,337	98,423	0%	2%
Net profit	41,716	62,788	62,506	82,149	83,918	0%	2%
EPS (NT\$)	3.34	5.03	5.01	6.58	6.72	0%	2%
Key ratios (%)							
Gross margin	29.0%	32.5%	32.4%	36.7%	37.1%		
Operating margin	18.5%	22.2%	22.1%	27.3%	27.6%		
Pre-tax margin	20.9%	25.5%	25.5%	29.0%	29.4%		
Net profit margin	17.6%	22.5%	22.5%	24.8%	25.0%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: UMC's P&L forecast

(NTD m)	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	237,554	61,038	67,555	72,684	76,703	277,979	78,101	81,174	86,016	89,735	335,025
COGS	168,647	43,219	46,482	48,335	49,807	187,844	50,380	51,262	53,579	55,511	210,732
Gross profit	68,907	17,818	21,073	24,349	26,896	90,136	27,721	29,911	32,437	34,224	124,293
Opex	24,959	6,542	7,070	7,270	7,700	28,582	7,600	7,830	8,150	8,250	31,830
Operating profit	43,948	11,276	14,003	17,079	19,196	61,554	20,121	22,081	24,287	25,974	92,463
Non-op profit	5,699	5,367	1,301	1,301	1,301	9,271	1,490	1,490	1,490	1,490	5,960
Pre-tax profit	49,647	16,643	15,304	18,380	20,497	70,824	21,611	23,571	25,777	27,464	98,423
Income tax	8,113	527	2,372	2,665	2,972	8,536	3,350	3,654	3,738	3,982	14,723
Minority interest	182	54	54	54	54	218	54	54	54	54	218
Net Income	41,717	16,171	12,986	15,770	17,579	62,506	18,316	19,972	22,094	23,536	83,918
EPS (NT\$)	3.34	1.29	1.04	1.26	1.41	5.00	1.47	1.60	1.77	1.88	6.72
Outstanding shares	12,485	12,491	12,491	12,491	12,491	12,491	12,491	12,491	12,491	12,491	12,491
Margin analysis											
Gross margin	29.0%	29.2%	31.2%	33.5%	35.1%	32.4%	35.5%	36.8%	37.7%	38.1%	37.1%
Operating margin	18.5%	18.5%	20.7%	23.5%	25.0%	22.1%	25.8%	27.2%	28.2%	28.9%	27.6%
Pre-tax margin	20.9%	27.3%	22.7%	25.3%	26.7%	25.5%	27.7%	29.0%	30.0%	30.6%	29.4%
Effective tax rate	16.3%	3.2%	15.5%	14.5%	14.5%	12.1%	15.5%	15.5%	14.5%	14.5%	15.0%
Growth (YoY%)											
Sales	2%	5%	15%	23%	24%	17%	28%	20%	18%	17%	21%
Operating profit	-15%	15%	29%	54%	57%	40%	78%	58%	42%	35%	50%
Net income	-12%	108%	46%	5%	75%	50%	13%	54%	40%	34%	34%
EPS	-12%	108%	46%	5%	75%	50%	13%	54%	40%	34%	34%
Product mix (%)											
Wafer	98%	95%	96%	96%	96%	107%	96%	96%	96%	95%	96%
Others	2%	5%	4%	4%	4%	-7%	4%	4%	4%	5%	4%

Sources: Company data, GF Securities (Hong Kong) Brokerage

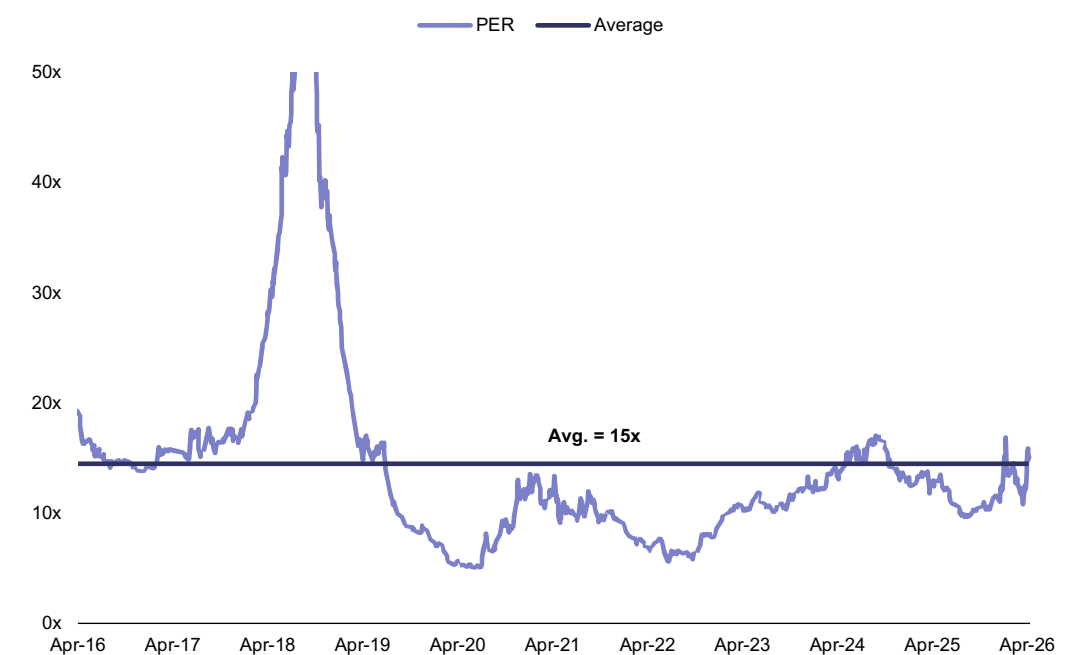
Valuation and Recommendation

Buy with TP of NT\$135

We rate UMC (2330 TT, UMC US) Buy and set our TP at NT\$135, which is based on 20x our 2027E EPS estimate from previous 18x. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and its earnings volatility has reduced since 2021 due to a much more diversified application mix and specialty position. We adopt the 2027 P/E valuation is due to the improving pricing environment in the longer term. Overall, we believe the mature node industry outlook has become more favorable, and UMC's mgmt. also guided a favorable pricing environment in 2026/2027.

UMC P/E traded at an average of 15x since 2021, when the market accepted the P/E valuation. Our target price is based on 20x P/E, which is 20-25% higher than the mid-cycle level, as we believe the rerating catalysts are emerging amid favorable industry supply/demand. Meanwhile, the company continued to gain AI related business (i.e., networking, silicon photonics, advanced packaging).

Figure 4: UMC's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) Geo-political risk; 2) Demand uncertainties; 3) Competition; 4) New product delay.

Balance Sheet						NTD mn
	2023	2024	2025	2026E	2027E	
Current assets	216,797	189,678	204,783	243,979	280,293	
Cash and cash equivalents	144,882	115,239	128,365	156,654	178,504	
Inventory	35,713	35,782	37,228	41,466	46,519	
Accounts Receivable	29,586	33,343	31,274	36,596	44,107	
Other current assets	6,618	5,313	7,915	9,262	11,163	
Non-current assets	342,390	380,523	374,213	361,828	355,762	
Long-term equity investment	74,255	72,487	75,373	78,373	81,373	
Fixed assets	239,123	279,059	271,395	256,011	246,945	
Other long-term assets	29,012	28,976	27,445	27,445	27,445	
Total assets	559,187	570,201	578,996	605,808	636,055	
Current liabilities	99,015	75,260	87,598	93,153	100,740	
Accounts Payable	7,526	7,633	9,170	10,214	11,458	
Short-term borrowings	29,537	19,510	27,597	23,457	17,593	
Other current liabilities	61,952	48,117	50,831	59,482	71,689	
Non-current liabilities	99,015	75,260	87,598	93,153	100,740	
Long-term Debt	45,236	55,533	45,372	38,566	28,925	
Other non-current liabilities	55,358	61,222	66,170	66,170	66,170	
Total liabilities	199,608	192,016	199,141	197,889	195,835	
Total Equity	359,579	378,185	379,855	407,918	440,220	
Share Capital	125,298	125,607	125,882	125,882	125,882	
Additional Paid-in Capital	16,886	25,473	21,004	16,004	8,504	
Retained earnings	217,053	226,849	232,883	265,946	305,748	
Preferred Stocks	341	257	87	87	87	
Total Liabilities & Equity	559,187	570,201	578,996	605,808	636,055	

Income Statement						NTD mn
	2023	2024	2025	2026E	2027E	
Revenue	222,533	232,303	237,553	277,979	335,025	
Cost of sales	144,789	156,649	168,647	187,844	210,732	
Gross profit	77,744	75,654	68,906	90,136	124,293	
Operating Expense	19,853	24,042	24,958	28,582	31,830	
Operating profit	57,891	51,613	43,949	61,554	92,463	
Interest Income	4,853	3,670	2,279	2,666	3,135	
Interest Expense	1,483	1,679	1,602	1,461	1,175	
Net other Non-op. Income/(Loss)	9,651	2,616	5,022	8,065	4,000	
Pre-tax profit	70,912	56,220	49,648	70,824	98,423	
Income tax	9,022	9,218	8,294	8,754	14,941	
Profit for the year	61,890	47,002	41,353	62,071	83,483	
Minority interest	-450	105	182	218	218	
Net profit to ord. equity	60,990	47,211	41,716	62,506	83,918	
EPS (NT\$)	4.9	3.8	3.3	5.0	6.7	

Cash Flow Statement						NTD mn
	2023	2024	2025	2026E	2027E	
Operating cash flow	66,689	79,970	103,286	123,927	148,672	
Profit for the year	60,990	47,211	41,716	62,506	83,918	
Depreciation & amortization	40,484	48,168	59,259	62,634	65,766	
Change in working capital	-29,645	-16,251	2,272	-1,213	-1,012	
Others	-5,140	843	39	-	-	
Investing cash flow	-97,053	-87,144	-52,988	-47,250	-56,700	
Capex	-105,899	-85,408	-48,764	-47,250	-56,700	
Change in investment	-4,267	924	-2,924	-	-	
Others	13,113	-2,660	-1,300	-	-	
Free cash flow	-39,210	-5,438	54,523	76,677	91,972	
Financing cash flow	33,508	6,135	2,874	-10,945	-15,506	
Change in Capital	-	-	-	-	-	
Net Change in Debt	27,309	271	-2,075	-10,945	-15,506	
Others	6,199	5,864	4,948	-	-	
Exchange influence	-392	3,715	-1,846	-	-	
Net increase in cash	3,144	-1,038	53,172	65,732	76,466	

Key Financial Ratios					
	2023	2024	2025	2026E	2027E
Growth (%)					
Revenue growth	-20.2	4.4	2.3	17.0	20.5
Operating profit growth	-44.5	-10.8	-14.8	40.1	50.2
Net profit growth	-18.7	-7.8	5.2	69.8	57.5
Profitability (%)					
Gross profit margin	34.9	32.6	29.0	32.4	37.1
Operating Profit Margin	26.0	22.2	18.5	22.1	27.6
Net profit margin	27.4	20.3	17.6	22.5	25.0
Key Ratio (%)					
ROA	10.9	8.3	7.2	10.3	13.2
ROE	17.0	12.5	11.0	15.3	19.1
Stability					
Gross debt/equity	0.6	0.5	0.5	0.5	0.4
Interest Coverage	45	48	64	85	127
Current Ratio	2.2	2.5	2.3	2.6	2.8
Quick Ratio	1.8	2.0	1.9	2.2	2.3
Net debt/equity	Net Cash	Net Cash	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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